Democratic midterm sweep would bring limited policy changes

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【メール原文】

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summary

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Record-high tanker freight rates and war-risk insurance premiums will keep delivered energy costs high into 2027.
*
A Flavio Bolsonaro administration would make restoring ties with Washington its top foreign policy priority.
*
Egypt will seek to keep its military support for Saudi Arabia defensive to avoid becoming involved in regional wars while preserving financial ties.
*
Countries and sectors in this edition of the Daily Brief include the US, Brazil, Egypt, Indonesia, Mexico, South Africa, energy, climate, resources, geoeconomics, geo-technology, and trade.

the top line

US—Democratic midterm sweep would bring limited changes in policy direction

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A likely Democratic sweep in the midterms would limit the legislative agenda in the next Congress but not force a major change in policy direction from President Donald Trump’s administration.
*
Moderate fiscal expansion is likely if Democrats win at least one chamber, while the risks of market-disruptive brinksmanship on the debt limit are very limited, given Democrats' historical unwillingness to seek leverage from the issue.
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Investigations and impeachment would be a major focus, with key committees probing the business dealings of figures in or close to the administration, but these would provide little leverage in the absence of any serious threat of removal from office.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Energy, Resources, Trade—Geopolitics has broken shipping with 2027 outlook just as bleak

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At no point in modern history have there been as many attacks against civilian ships as in 2026, and the outlook is no better for 2027, as both the Ukraine and Middle East wars are likely to continue.

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Record-high tanker freight rates and war-risk insurance premiums will keep delivered energy costs high into 2027, while container rates—which matter most for consumer goods—have risen much more modestly.

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Higher energy and freight costs will likely squeeze energy-intensive industries and add to inflation, further denting already tepid consumer sentiment, even as overall manufacturing output holds up.

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Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Brazil—Bolsonaro would pivot to Washington and keep other partners

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A Flavio Bolsonaro administration would make restoring ties with Washington its top foreign policy priority, pursuing deals to eliminate Brazil-specific tariffs while deepening cooperation on security, critical minerals, and potentially technology.

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Brazil would preserve its tradition of diversified partnerships with European and Asian markets, and expand with Middle Eastern investors.

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Bolsonaro would keep trade and investment ties with China intact but pull back on BRICS cooperation and likely exit the World AI Cooperation Organization (WAICO), with tighter oversight of Chinese minerals investment as a tail risk.

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Read more here . Reach out to discuss: brazilresearch@eurasigroup.net .

Brazil—Flavio still favored, with bond yields up from lows on tight polls

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Brazilian bond yields dropped sharply after Flavio's strong first-round result but rose last week as polls indicated his lead narrowing.

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Polls released this week suggest the narrowing trend may have stabilized and Flavio's polls may be inching up. Adjusting for likely voters, EG estimates his lead at roughly 2.5 points.
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EG's assigns 70% odds to a Flavio victory, down from highs of 80% last week prior to the tightening in the polls.
*
Read more here . Reach out to discuss: brazilresearch@eurasigroup.net or geoeconomics@eurasiagroup.net .

Egypt—Defending Saudi Arabia preserves geopolitical alignment and financial ties

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Cairo will seek to keep its military support for Saudi Arabia defensive to avoid becoming involved in regional wars, but the risk of involvement has increased since President Abdelfattah el Sisi publicly. asked parliament on 17 October to authorize the defense of the kingdom by all necessary means.
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Egypt will use its backing to discourage Riyadh from seeking Israeli military support and to preserve the kingdom’s alignment with Cairo on regional issues.
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Renewal of Saudi Arabia’s $5.3 billion deposit at the Egyptian Central Bank, and the need to preserve Saudi-sourced remittances (a third of the total), provide additional motivation for Cairo’s commitment, though geopolitical concerns remain the priority.
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Read more here . Reach out to discuss: mena@eurasiagroup.net .

upcoming conference calls

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22 October 8:00 AM ET—Brazil update. Register here .
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22 October 10:00 AM ET—US politics update with former Treasury deputy secretary Derek Theurer. Register here .
*
23 October 10:00 AM ET—India update. Register here .

eg in brief

South Africa—Fiscal position is strong now but will fade by mid-2027: The Medium-Term Budget Policy Statement this week will show strong tax revenue supported by healthy commodity export prices. National Treasury will keep borrowing in check this fiscal year as it draws down cash balances and cuts transfers to state-owned enterprises. Higher oil prices and rising municipal spending will erode tax revenue and this year’s budget over-performance into mid-2027. Read more here . Reach out to discuss: africa@eurasiagroup.net .

US, Geo-technology—Democrats would use majority to reset terms of AI debate: Oversight would be the core of Democratic AI policy in the new Congress, but if Democrats win both chambers, they will likely advance legislation to force Republicans onto the record despite the likelihood of a presidential veto. Democrats would need to shift from a posture on AI to a policy on AI and would likely converge on a bill modeled on state safety frameworks, while data center taxes and ratepayer protections as well as national security and export controls would likely be early priorities. The next six months could well define the AI industry's 2029 regulatory exposure, as Democrats would use their likely congressional majority to hone their approach to AI before the 2028 campaign begins. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Mexico, US, Trade—Trade deficit concerns will keep pressure on Mexico despite tariff progress: On 19 October, Trump said the US and Mexico are close to a deal that would significantly cut the bilateral trade deficit, while giving few details. The US goods deficit with Mexico has grown to $156 billion in January-August, surpassing the US deficit with China and hardening Washington's push for more concessions. Trump's comments follow recent statements from US Commerce Secretary Howard Lutnick opposing any sectoral tariff negotiations. Mexican officials continue to push for tariff relief on steel, aluminum, and autos/auto parts. A limited sectoral agreement remains likely before year-end, but Washington's focus on reducing the bilateral deficit will keep pressure on Mexico to offer additional concessions, including on market access, rules of origin, and purchases of US goods. Even if Mexico secures limited tariff relief, tensions around the bilateral deficit will keep trade pressures elevated as the USMCA review continues. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Indonesia—Government response to MSCI will determine investor confidence: Indonesia's stock market has rebounded 7% this week after last week's sell-off, triggered by MSCI's threat to reclassify Indonesia from emerging-market to standalone-market status. The Indonesia Stock Exchange (IDX) has cut the daily downside limit for individual stocks to 7% from 15% to contain volatility and will also exclude stocks with highly concentrated ownership from the Jakarta Composite Index. The Financial Services Authority (OJK) has pledged further reforms and imposed substantial sanctions for suspected market manipulation. Despite the risk of capital outflows and a weaker rupiah, Bank Indonesia held rates on 21 October, preferring other tools to support the currency. The turmoil could deepen concerns about institutional erosion, corruption, and regulatory independence under President Prabowo Subianto, particularly if market reforms are undermined by weak enforcement or political interference. Key watchpoints include implementation of IDX's new measures, any emergency steps announced by Prabowo's economic team, and whether OJK and IDX publish a credible timetable to address ownership transparency and enforcement gaps. Read more here . Reach out to discuss: southeastasia@eurasiagroup.net .

Critical Minerals—Global Minerals Update Ahead of LME Week: Washington's minerals financing pipeline will expand, but the type of financing the Trump administration is using is higher risk and it will still take years for large commitments to translate into reduced dependence on China. Other markets globally are getting squeezed by aggressive US and Chinese efforts. Europe is unlikely to catch up without faster disbursement, binding offtake agreements, and stronger public financing. Existing policy is insufficient to shift markets in its favor. And for Australia, as it attracts more financing and attention, world powers are using their leverage to extract engineering and finance jobs from Australian mining. Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Upcoming events:

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21 October: Central bank decision: Israel.
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22 October: Central bank decisions: Philippines, South Korea, and Turkey.
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23 October: Data: Eurozone, Japan, UK, and US S&P, India HSBC Manufacturing PMI, Taiwan industrial production, and US UMich consumer sentiment; Central bank decisions: Kazakhstan and Russia.
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25 October: Events: Brazil presidential runoff.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

“The fact is, all the people who are speaking ill of our country right now are people who don’t love our country...So those people really bother me.”—French President Emmanuel Macron said today in relation to foreign leaders "on the other side of the Atlantic"

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